



TATA GROUP

WORKING ON: Samyukta electronic warfare systems, Pinaka multi-barrelled rocket launchers (above) and trucks. Three of its companies—Tata Consultancy Services, Tata Power and Tata Motors are on the RUR list.

VYING FOR: Upgrading 155 mm Bofors howitzers.

MAHINDRA&MAHINDRA

WORKING ON: Contract for 8,000 Light Specialist Vehicles (above) and mine-proof vehicles for the army. It will manufacture 300 lightweight sea mines for the navy.

VYING FOR: Diversification into naval weapons with a dedicated six-acre factory near Pune.

THE PRIVATE ARMS RACE

With private companies gaining entry in the defence sector, there is hope for ramping up competition and achieving self-sufficiency in the field, but the Left is not convinced yet

■ By Sandeep Unnithan

It sits nearly two feet off the ground and effortlessly bounces over boulders and fords streams with a tug of its 4,000-cc engine. Made by Mahindra Defence Systems (MDS), a subsidiary of the auto giant, the Axe, India's first private sector project designed for the armed forces, is a response to the army's requirement of nearly 8,000 Light Specialist Vehicles to carry troops, anti-tank guns, machine guns and missiles. Designed in just two years, it will compete with the state-owned Ordnance Factory Board (OFB), which is tying up with General Motors to bring in the US army's Hummer, and Bharat Earth Movers Limited, which will bring in the UK's Range Rover. The irony is hard to miss—a private sector firm, which has designed an indigenous vehicle, is up against PSUs which are importing technology.

On June 6, the Probir Sengupta

Committee handed Defence Minister A.K. Antony a list of 12 private sector firms (and a PSU, Bharat Heavy Electricals Limited), with a turnover of over Rs 1,000 crore, to be called Raksha Udyog Ratnas (RURs), or defence production jewels. RURs will now be treated on par with defence public sector units (DPSUs), given financial support to develop weapon systems and handed designs by the Defence Research and Development Organisation (DRDO). The firms, a veritable who's who of Indian industry—from Larsen&Toubro (L&T) and HCL to Wipro—will be formally notified after the Defence Acquisition Council approves the proposal for the involvement of the private sector in defence.



"The entry of RURs in the field of defence production will infuse competition," says Antony. This will be the second biggest step towards enlisting the private sector into defence after the Government allowed 26 per cent FDI in this area in May 2001. The landmark 2005 Kelkar Committee report on defence had suggested ways of strengthening self-reliance by actively involving the private sector. Thirty licences have been awarded to the private sector so far. The navy is going in for a second production line of six submarines this year, and there is a high probability that one of the RURs will build them.

A.K. Saxena, managing director, Hindustan Aeronautics Limited, Bangalore, says RURs have an edge over

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A.K. ANTONY, DEFENCE MINISTER